

**SUBSTITUTE FOR  
HOUSE BILL NO. 5479**

A bill to amend 1933 PA 167, entitled  
"General sales tax act,"  
by amending section 4gg (MCL 205.54gg), as added by 2025 PA 17.

**THE PEOPLE OF THE STATE OF MICHIGAN ENACT:**

1       Sec. 4gg. (1) Beginning January 1, 2026, the sale of eligible  
2 fuel is exempt from the tax under this act.

3       **(2) The sale of electric fuel to propel a vehicle is exempt**  
4 **from the tax under this act if that electric fuel is taxed under**  
5 **either the motor carrier fuel tax act, 1980 PA 119, MCL 207.211 to**  
6 **207.234, or the motor fuel tax act, 2000 PA 403, MCL 207.1001 to**  
7 **207.1170.**

8       **(3)** ~~(2)~~—As used in this section:

9       (a) "Alternative fuel" means that term as defined in section



1 151 of the motor fuel tax act, 2000 PA 403, MCL 207.1151.

2 **(b) "Electric fuel" means that term as defined in section 157**  
3 **of the motor fuel tax act, 2000 PA 403, MCL 207.1157.**

4 **(c) ~~(b)~~—"Eligible fuel"** means motor fuel, alternative fuel,  
5 and leaded racing fuel, except that eligible fuel does not include  
6 any of the following:

7 (i) Motor fuel that is sold for use in aircraft if the  
8 purchaser paid the privilege tax imposed by section 203 of the  
9 aeronautics code of the state of Michigan, 1945 PA 327, MCL  
10 259.203, on the motor fuel and the purchaser is registered under  
11 section 94 of the motor fuel tax act, 2000 PA 403, MCL 207.1094, if  
12 required to be registered under that section.

13 (ii) Aviation fuel on which the privilege tax is due under  
14 section 203 of the aeronautics code of the state of Michigan, 1945  
15 PA 327, MCL 259.203.

16 (iii) Motor fuel on which the privilege tax imposed under  
17 section 203 of the aeronautics code of the state of Michigan, 1945  
18 PA 327, MCL 259.203, has been paid and that is identified on the  
19 shipping paper or invoice as aviation fuel and sold as aviation  
20 fuel.

21 (iv) Motor fuel or alternative fuel sold for residential,  
22 commercial, or industrial use for heating, cooling, or ventilation  
23 purposes, such as for use in home or building utility systems,  
24 furnaces, boilers, space heaters, water heaters, dryers and similar  
25 appliances, and heat pumps, including, but not limited to, motor  
26 fuel or alternative fuel that is exempt from the sales tax at the  
27 additional rate of 2% approved by the electors on March 15, 1994  
28 under section 4n.

29 (v) Liquified petroleum gas, unless the liquified petroleum



1 gas is used or for use as those terms are defined in section 151(j)  
2 of the motor fuel tax act, 2000 PA 403, MCL 207.1151.

3 (d) ~~(e)~~—"Leaded racing fuel" means that term as defined in  
4 section 4 of the motor fuel tax act, 2000 PA 403, MCL 207.1004.

5 (e) ~~(d)~~—"Liquified petroleum gas" means that term as defined  
6 in section 151 of the motor fuel tax act, 2000 PA 403, MCL  
7 207.1151.

8 (f) ~~(e)~~—"Motor fuel" means that term as defined in section 4  
9 of the motor fuel tax act, 2000 PA 403, MCL 207.1004.

10 Enacting section 1. This amendatory act does not take effect  
11 unless all of the following bills of the 103rd Legislature are  
12 enacted into law:

13 (a) House Bill No. 5434.

14 (b) House Bill No. 5435.